

1.

Relevant issues include:

- reasons why prices may differ, eg cost differences, price discrimination
- examples of price discrimination
- the ability of the producer to exert control over supply
- the ability to separate different markets, eg through time, barriers to entry
- preventing the transfer of goods or services between markets
- the significance of different price elasticities of demand
- why cost differences, eg transport costs, may lead to price differences
- why imperfect information may allow firms to charge different prices for the same product
- why product differentiation and branding may allow a supplier to charge different prices for what is essentially the same product.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

The use of examples to illustrate price discrimination should also be taken into account when assessing the quality of response.

[15]

2.

Relevant issues/logical chains of analysis include:

- defining/distinguishing between price elasticity (responsiveness of the quantity demanded to a change in price) and income elasticity of demand (responsiveness of quantity demanded to a change in income)
- (PED) The link between the consumer and price is broken by insurance and the purchasing decision is now taken by the insurance company or by the state or its agent (eg the GP). The patient will want life-saving treatment whatever the price. However some people are not members of insurance schemes or might not qualify for state provision
- assymetric information; unpredictability of medical need
- universal state provision replaces price rationing with the queue (or waiting list) insurance enables people to jump the queue
- (YED) Higher incomes make insurance more affordable
- arguable that people on higher incomes will be more aware of treatments available
- possibility of unnecessary treatments and procedures, e.g. cosmetic surgery for vanity reasons
- meaning of high/low/price/income elasticity
- appropriate use of diagrams, e.g. demand curves related to PED and YED

[10]

3.

A

[1]



4.

Issues and areas for discussion include:

Introduction	• Definition/explanation of 'more responsive to market forces' • Basic reasons why governments of developed countries support agriculture.
Developing the response to the question (application)	NOTE: Students are not confined to discussion of direct intervention on farm prices; they can discuss government intervention anywhere along the supply chain (e.g. government attempts to modify the behaviour of supermarkets/powerful buyers), and they could then discuss effects working backwards along the chain to the farm source. • Comments from own economic knowledge or based on the data, eg • S & D theory (elasticities, shifts, potentially unstable prices; price support through quotas shifting S to left) • Possible policies for stabilising prices and incomes ◦ national government: competition policy, regulation ◦ EU level: quotas, intervention buying, buffer stocks ◦ milk as a staple foodstuff, an 'essential' ◦ effects of free trade and globalisation (imports are mentioned in Extract E) ◦ production and productivity (Extract F; further discussion of Extract D) ◦ intensity of production (mentioned in Extract F) ◦ economies of scale (Extract F)
Developing the response to the question (analysis)	• Arguments for markets, eg ◦ rationing/signalling ◦ consumer sovereignty and choice ◦ decentralisation ◦ opportunity costs ◦ efficiency ◦ problems with government failure. • Arguments against, eg ◦ market failure, externalities ◦ need for price and Income stabilisation ◦ imperfect information ◦ influence of supermarkets • changes in demand and supply conditions • globalisation, free trade • need for government to act as a broker between producers and retail sector.



Evaluation	• Market failure versus government failure • Consequences of government involvement (eg costs to the taxpayer) versus consequences of non-involvement (eg costs to the consumer; danger of a break in supply) • Free trade versus protection • Power of the supermarkets/small number of processors • Policy appropriate at national level or EU level? • Difficulties of identifying and acting for public interest/interests of consumers/producers • Unintended consequences, eg effects of quotas; milk as a raw material, impacting on many other industries; environmental side-effects of intensive farming • There is information in the data regarding Spain and UK which appears to indicate that quotas discourage economies of scale, and lifting quotas therefore increases efficiency. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams/An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

6.

Relevant issues/logical chains of analysis include:

- relevant definitions, e.g. PED, total revenue, costs, price discrimination
- Price elasticity of demand can change with the time of day eg people on their way to work or on a timed lunch break have fewer alternatives and therefore lower PED. Afternoon customers are under less pressure and so have more alternatives and therefore higher elasticity. The café has large fixed costs, eg staff and therefore there are times of day when it works to full capacity and others where it is under capacity. It therefore needs to spread costs more evenly and then if it can maximise TR it will also maximise profit. Revenue is increased by increasing price when PED is inelastic and reducing price when demand is elastic. In some ways this is a similar pricing strategy to that of the low cost airlines
- This pricing strategy as an example of price discrimination
- Explanation of geometrical relationships on a diagram.
- diagrams to support the explanation, eg AR, MR, MC, price-elastic and inelastic demand.

NOTES: (1) PED, revenues and costs are mentioned in the stem of the question to assist students in focusing their answer. Do not penalise if any of these three items is not specifically discussed. Full marks can be achieved for a clear explanation which does not necessarily discuss all three of these items in any depth, although it can be expected that at least two will be necessary to convey a convincing explanation. **(2)** Scenarios other than the Cafe/Coffee Shop can be credited here if they help the explanation (e.g. on-peak/off peak rail travel can be used in a relevant way)

[15]

7.

Areas for discussion include:

- distinction between traditional economic theory, which assumes people are rational decision makers, and behavioural economic theory
- market failure and people's choice of diet, eg asymmetric information, 'unhealthy food products' as demerit goods, inequitable distribution of income
- advertising and product promotion strategies employed by the food industry and how they influence people's choices
- policies that might help to correct information problems, eg compulsory food labelling, publicity campaigns
- policies to restrict advertising that misinforms or misleads consumers
- the impact of imposing legally enforced restrictions on, for example, the fat or salt content of processed foods
- policies that can be adopted to encourage people to adopt a healthy diet, eg indirect taxes, subsidies, better information
- relevance of elasticities
- behavioural factors that might affect people's choices, eg habit, other people's choices, social norms, motivation to 'do the right thing', people give inadequate weight to the long-term consequences of their actions
- policies related to behavioural economic theory that can be used to encourage people to adopt a healthy diet, eg nudges, framing, influencing attitudes
- whether providing better information and leaving it to individuals to make their own choices would lead to an improvement in people's well-being
- whether people are 'predictably irrational' and whether government policies that do not take this into account are likely to be ineffective
- whether the individual is the best judge of their own welfare; and whether behavioural solutions are paternalistic
- the unintended consequences of various policies.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

[25]

9.

D

[1]

10.

A

[1]

11.

B

[1]

12.

D

[1]

13.

Relevant issues include:

- different types of taxes, eg direct v indirect, progressive, proportional and regressive
- taxation as a withdrawal from the circular flow of income
- how an increase in taxation affects aggregate demand
- the relationship between aggregate demand and each of the main objectives of UK macroeconomic policy, ie unemployment, growth, inflation and the balance of payments
- the different demand-side impacts of different tax changes, eg an increase in the rate of VAT versus a rise in the top rate of income tax
- multiplier effects
- the impact of tax changes on the pattern of demand and hence resource allocation, eg raising taxes on demerit goods
- the significance of elasticities of demand.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

[15]

14.

C

[1]

15.

A

[1]

16.

Areas for discussion include:

- roads as a scarce resource
- the negative externalities associated with congestion, eg the longer journey times for other road users
- what is meant by road-pricing and how it might be implemented (allow both tolls and congestion charges as forms of road-pricing or as alternative policies)
- other policies that might be employed such as: higher taxes on fuels, increasing the road fund licence, building more roads, subsidising public transport, investing in and improving public transport
- the extent to which roads display the characteristics of a public good and how has this been affected by developments in technology.
- congestion is most prevalent on certain roads and at certain times of the day
- how road-pricing might be implemented, eg charging drivers a price for each mile travelled with different prices for different roads and for different times of the day, perhaps mentioning automatic number plate recognition systems
- setting up tolls on major roads with the toll charge varying between peak and off-peak times
- how higher taxes on fuels would help to reduce congestion and the relevance of price elasticity of demand
- how subsidising, for example, bus and rail transport, will help to reduce congestion and the relevance of cross elasticity of demand
- the budgetary and cost implications of the different options
- possible unintended consequences of the different methods, eg the impact of road pricing on city centres, such as empty shops, higher prices for products as transport costs rise
- equity arguments, eg are indirect taxes regressive, should the road user pay or the taxpayer, the impact of the different policies on the poorest members of society, town versus country dwellers, commuters and businesses
- the likelihood of government failure, eg inadequate information means that the government may set an inappropriate price for using roads, eg a price that doesn't reflect the true cost of congestion, government policy is likely to be affected by public opinion and the reactions of voters.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

[25]

Level of response	An answer that:	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7-9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram.	4-6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1-3 marks

A standard tariff diagram is expected, illustrating the volume of imports with and without a tariff.

Relevant issues include:

- a tariff as a tax on imports
- removing the tariff makes imports more competitive
- the impact on the demand for imports and the supply of home produced goods
- the relevance of elasticities.

19.

Areas for discussion include:

- the nature and examples of price discrimination
- allows the producer to convert consumer surplus into producer surplus
- how price discrimination allows the producer to increase revenue and profit compared to a single price
- relevance of price elasticity of demand
- how price discrimination enables the producer to reduce fixed costs by spreading demand more evenly, eg peak and off-peak rail fares
- better capacity utilisation by firms will lower costs and may lead to lower prices for consumers
- why price discrimination may increase total sales and generate economies of scale
- the use of price discrimination as a barrier to entry, reducing competition
- why price discrimination almost certainly means that some consumers will face a higher price than if there was a single price
- the use of price discrimination to cross-subsidise loss-making services
- some consumers will benefit from lower prices and products that might not otherwise be supplied
- equity considerations related to the redistribution of income that results from price discrimination.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

The use of examples to illustrate price discrimination should also be taken into account when assessing the quality of response.

[25]

20.

Relevant issues include:

- sources of market failure in transport, eg externalities, roads as a quasi-public good
- examples of externalities associated with journeys by road and rail, eg congestion and longer journey times for other road users, pollution and associated health problems, environmental damage
- explaining why roads may exhibit some of the characteristics of a public good, ie they are, up to a point, non-rival and may be non-excludable.
- why, in the absence of government intervention, the existence of negative externalities means that the user will not bear the full cost of the activity
- free market equilibrium level of output ($MPB=MPC$) and the social optimum level of output ($MSB=MSC$)
- negative externalities associated with rail journeys are likely to be less than for journeys by road, hence road journeys will be under-priced by more than rail journeys, ie there will be a greater divergence between the marginal social cost and the marginal private cost for road journeys than rail journeys
- rail companies charge for the use of the rail network but, in most cases, road users are not directly charged for the use of roads
- taxes imposed on the motorist mean that some, or all, of the costs of building and maintaining the road network are borne by the motorist.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

[15]